

3-1c The Adjusting Process

At the end of an accounting period, an unadjusted trial balance is prepared to verify that the total debit balances equal the total credit balances. Many of these account balances are reported in the financial statements without change. For example, the balances of the cash and land accounts are normally the amounts reported on the balance sheet.

Some accounts on the unadjusted trial balance, however, require adjustments for the following reasons:

- Some expenses are not recorded daily. For example, the daily use of supplies would require many entries with small amounts. Also, the amount of supplies on hand on a day-to-day basis is normally not needed.
- Some revenues and expenses are incurred as time passes rather than as separate transactions. For example, rent received in advance (unearned rent) expires and becomes revenue with the passage of time. Likewise, prepaid insurance expires and becomes an expense with the passage of time.
- Some revenues and expenses may be unrecorded at the end of the accounting period. For example, a company may have provided services to customers that it has not billed or recorded at the end of the accounting period. Likewise, a company may not pay its employees until the next accounting period even though the employees have earned their wages in the current period.

The analysis and updating of accounts at the end of the period before the financial statements are prepared is called the

adjusting process (An analysis and updating of the accounts when financial statements are prepared.)

. The journal entries that bring the accounts up to date at the end of the accounting period are called

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. All adjusting entries affect at least one income statement account and one balance sheet account. Thus, an adjusting entry will always involve a revenue or an expense account *and* an asset or a liability account.